

HK Regulatory Compliance Digest

June 2026 Edition · Covering 1 – 30 June 2026

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Both the SFC and HKMA sharpened their focus on AI-enabled cyber risk this month, issuing parallel circulars within a day of each other. On the enforcement side, the SFC fined a broker for financial-return and client-money failures, secured a worldwide freezing injunction of roughly HK\$146.9 million, and saw a five-month prison sentence handed down in an insider dealing case. The HKMA also advanced its supervisory agenda on consumer credit data sharing, bancassurance commission structures, and AI-assisted financial crime detection.

SECURITIES AND FUTURES COMMISSION — SFC

1 JUNE 2026

SFC reprimands and fines XHK Limited HK\$2.5 million for regulatory breaches

XHK Limited made accounting errors in its financial returns that produced liquid capital deficits of HK\$3.6–32.3 million across four months, and mishandled client and non-client money. The case underscores the SFC's continued focus on financial resources reporting and client asset controls.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR82>

[Trade Monitoring](#) [Client Money Controls](#) [Licensing & Supervision](#)

2 JUNE 2026

Circular: Enhanced cybersecurity measures to address AI-enabled cyberattacks (ref. 26EC32)

Issued to licensed corporations, SFC-licensed virtual asset service providers and associated entities, the circular cites a 27% year-on-year rise in cyber incidents and calls on firms to assess preparedness for AI-enabled attacks, with practical guidance on addressing vulnerabilities.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/intermediaries/supervision/doc?refNo=26EC32>

[Client Information Management](#) [Licensing & Supervision](#)

9 JUNE 2026

Movie producer Wong Pak Ming sentenced to 5 months' imprisonment in SFC insider dealing prosecution

Following conviction on 22 May 2026, the West Kowloon Magistrates' Court sentenced Wong over insider dealing in Pegasus Entertainment Holdings shares, imposing a fine and investigation costs of roughly HK\$474,000. He began serving his sentence immediately after voluntarily surrendering bail, while pursuing an appeal.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR92>

Enforcement **Trade Monitoring & Surveillance**

11 JUNE 2026

SFC obtains worldwide freezing injunction against Lo Kai Bong and Major Success Group Limited

The Court of First Instance granted a worldwide injunction (extended under Chabra jurisdiction to Major Success Group) freezing assets up to approximately HK\$146.9 million, part of SFC section 214 proceedings against Lo, LET Group Holdings and Summit Ascent Holdings. The injunction was extended on 18 June 2026, with the next hearing set for 26 August 2026.

Read more: <https://www.prudent.hk/post/sfc-obtains-worldwide-freezing-order-against-lo-kai-bong-and-major-success-group-limited>

Enforcement

23 JUNE 2026

SFC concludes consultation on Investor Identification Regime for Hong Kong's exchange-traded derivatives market (HKIDR-DM)

Respondents broadly supported extending investor identification to on-exchange futures, options and stock options traded on HKFE, citing alignment with international practice and stronger market surveillance. The SFC will implement HKIDR-DM in Q2 2028, alongside HKEX's Orion Derivatives Platform rollout.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR97>

Trade Monitoring & Surveillance **Licensing & Supervision**

ENFORCEMENT WATCH — SFC, JUNE 2026

A dedicated review of new disciplinary sanctions, licence suspensions or revocations, freezing/injunction orders, and criminal prosecutions or sentencing found nothing further within the period beyond the three items above. One related matter sits just outside the window: former Yuanta Securities representative Wong Tim Hi was suspended for nine months (3 July 2026 – 2 April 2027) over unauthorised third-party trading connected to the Ching Lee Holdings market manipulation matter. We are confirming whether this was captured in last month's coverage. [Source](#)

2 JUNE 2026

Circular: Strengthening Cyber Resilience amid Artificial Intelligence-Empowered Cyber Threats

The HKMA reminded authorized institutions to stay vigilant as frontier AI models may mark a step change in the global cyber risk landscape, urging a review of cyber risk management, incident response, recovery testing and third-party resilience — mirroring the SFC's parallel circular issued the same week.

Read more: <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260529-8-EN/20260529-8-EN.pdf>

Client Information Management Licensing & Supervision

5 JUNE 2026

HKMA and SFC conclude joint consultation on standardised calculation periods under the OTC derivative Clearing Rules

Respondents broadly supported fixed annual calculation periods (1 March–31 May and 1 September–30 November) for the mandatory clearing obligation, improving planning certainty. Regulators will proceed with legislative amendments targeting effect from 1 March 2027.

Read more: <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260605-6/>

Trade Monitoring — OTC Derivatives

Wind Rose Holding Limited

This digest is prepared for client information purposes and summarises publicly available SFC and HKMA announcements for 1–30 June 2026. It is not legal advice; please consult your relationship manager or Wind Rose's compliance team before acting on any item.